Playbook: Termination and Survival

NORTHWIND SYSTEMS INTERNAL LEGAL PLAYBOOK ## SECTION 8: TERMINATION AND SURVIVAL

8.1 GENERAL PROVISIONS AND PREFERRED POSITION (MODEL CLAUSE LANGUAGE)

The legal team shall utilize the following model clause as the baseline for all Master Subscription Agreements (MSAs) and Order Forms. Any deviation from this standard requires adherence to the escalation matrix set forth in Section 8.5.

> 8.1(a) Termination for Convenience. Customer may terminate this Agreement, or any applicable Order Form, for any reason or no reason, upon providing Northwind with at least ninety (90) days' prior written notice. Northwind shall not be entitled to any refund of prepaid fees, and Customer shall not be relieved of its obligation to pay all fees accrued or committed through the effective date of termination.
>
> 8.1(b) Termination for Cause. Either party may terminate this Agreement immediately upon written notice if the other party materially breaches any provision of this Agreement and fails to cure such material breach within thirty (30) days after receipt of written notice detailing the breach.
>
> 8.1(c) Effect of Termination; Post-Termination Fees. Upon termination or expiration of this Agreement, Customer’s right to access the Platform shall immediately cease. If Customer terminates for convenience pursuant to Section 8.1(a), or if Northwind terminates for cause pursuant to Section 8.1(b) due to Customer's breach, all unpaid fees for the remainder of the then-current Subscription Term shall immediately accelerate and become due and payable, subject to a monetary floor of $25,000.
>
> 8.1(d) Survival. Sections 4 (Fees and Payment), 7 (Confidentiality), 9 (Limitation of Liability), 10 (Indemnification), and this Section 8.1(d) shall survive any termination or expiration of this Agreement for a period of five (5) years.

8.2 FALLBACK POSITION

When negotiating with enterprise counterparties possessing significant leverage, attorneys may drop to the Fallback Position without prior escalation, provided all four baseline parameters are maintained concurrently:

1. Notice Period for Convenience: Reduced from 90 days to sixty (60) days.
2. Cure Period for Breach: Maintained strictly at thirty (30) days.
3. Monetary Floor for Acceleration: Reduced to $15,000.
4. Post-Termination Survival Period: Reduced from 5 years to three (3) years (except for Confidentiality, which shall survive for five (5) years).

Attorneys accepting the fallback position must insert a mutual termination for convenience fee equal to twenty-five percent (25%) of the remaining unbilled contract value for the balance of the term.

8.3 WALK-AWAY POSITION

Legal counsel shall instruct the sales team to terminate negotiations and walk away from any transaction where the counterparty demands terms outside the fallback parameters that fail to meet the following absolute minimum risk thresholds:

* Unilateral Termination for Convenience Notice Period: Less than thirty (30) days is a non-negotiable walk-away trigger.
* Cure Period for Material Breach: Any demand for a cure period longer than forty-five (45) days is a walk-away trigger.
* Acceleration Cap: Any demand to cap termination acceleration fees at less than 1.0x the annual contract value (ACV) of the terminated order form is a walk-away trigger.
* Monetary Floor: Any demand to eliminate the monetary floor entirely where the contract value exceeds $100,000 is a walk-away trigger.

8.4 SPECIFIC NUMERIC AND CATEGORICAL THRESHOLDS

To ensure objective compliance during contract review, attorneys shall enforce the following strict thresholds:

Parameter	Preferred Position	Fallback Position	Walk-Away Threshold
Convenience Notice Period	90 Days	60 Days	< 30 Days
Material Breach Cure Period	30 Days	30 Days	> 45 Days
Acceleration Cap (Multiplier)	1.0x remaining term	0.25x remaining term	< 1.0x ACV (if demanded)
Monetary Floor (Absolute USD)	$25,000	$15,000	$0 (on deals > $100k)

8.5 NAMED DEVIATIONS AND ESCALATION MATRIX

Any contract provision that falls outside the Fallback Position requires formal written approval from the designated internal authority before execution:

1. Complete Elimination of Termination for Convenience Fees:
* *Condition:* Counterparty refuses any form of acceleration or penalty for terminating early.
* *Escalation Target:* Arthur Pendelton, VP of Sales.
2. Asymmetric Termination Rights (Customer can terminate for convenience, Northwind cannot):
* *Condition:* Standard enterprise demand where Northwind is locked in for the full term.
* *Escalation Target:* Elena Rostova, Chief Financial Officer.
3. Immediate Data Deletion and Destruction Clauses (< 7 Days Post-Termination):
* *Condition:* Counterparty demands deletion of all backup and active data within 48 to 72 hours, bypassing Northwind’s standard 30-day archival retention window.
* *Escalation Target:* Marcus Vance, Chief Information Security Officer.

8.6 WORKED EXAMPLES OF COUNTERPARTY LANGUAGE

8.6(a) Acceptable Counterparty Language (Requires No Escalation)

> *Example 1 (Fallback Adoption):*
> "Either party may terminate this Agreement for convenience upon sixty (60) days prior written notice to the other party. In the event Customer terminates for convenience, Customer shall pay a termination fee equal to twenty-five percent (25%) of the fees that would have otherwise accrued for the remainder of the then-current term, subject to a minimum monetary floor of fifteen thousand dollars ($15,000)."
> *Rationale:* Aligns directly with Section 8.2 Fallback Position parameters.

> *Example 2 (Cure Period Adjustment within tolerance):*
> "Customer may terminate for material breach if Northwind fails to remedy such breach within forty-five (45) days of receiving written notice specifying the failure."
> *Rationale:* Falls within the maximum allowable walk-away threshold (45 days) and protects operational integrity without requiring executive sign-off.

8.6(b) Unacceptable Counterparty Language (Requires Rejection or Escalation)

> *Example 1 (Unacceptable Notice & Fee Structure):*
> "Customer may terminate this Order Form at any time, for any reason, upon ten (10) days written notice without penalty or payment of any remaining fees."
> *Rationale:* Violates the 30-day absolute minimum walk-away threshold for convenience notice and eliminates the acceleration fee entirely. Requires escalation to Arthur Pendelton (VP of Sales).

> *Example 2 (Unacceptable Data Deletion):*
> "Upon notice of termination, Northwind shall permanently purge, wipe, and cryptographically erase all Customer Data from all systems within forty-eight (48) hours, providing a certified officer's certificate of destruction."
> *Rationale:* Violates standard backup sanitization cycles and creates compliance liability. Requires escalation to Marcus Vance (CISO).